

Business Plan

PredictAI Brokerage LLC

A Regulated Introducing Broker for Prediction Markets

Executive Summary

Business Concept

PredictAI Brokerage LLC will operate as a **CFTC-registered Introducing Broker (IB)** that introduces retail and institutional customers to regulated prediction market exchanges through licensed Futures Commission Merchants (FCMs).

The company will **not**:

- Operate an exchange
- Hold customer funds
- Perform clearing
- Match orders
- List contracts

Instead, PredictAI will:

- Acquire customers
 - Provide AI-powered market intelligence
 - Offer a superior trading interface
 - Route customer orders through an FCM
 - Earn transaction-based and subscription revenue (subject to partner agreements)
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Vision

Become the leading AI-powered introducing broker for prediction markets in North America.

Mission

Deliver institutional-grade AI market intelligence while providing seamless access to regulated prediction markets.

Business Model

Customer



PredictAI



Introducing Broker



Partner FCM



Kalshi



Settlement

Company Structure

Legal Entity

- Delaware C-Corporation (preferred if raising venture capital) or LLC initially if self-funded.

Registration

- CFTC Introducing Broker
- NFA Member

Partners

- Kalshi
- One or more FCMs
- Identity verification provider

- Payment providers
 - Cloud infrastructure
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Services

Customer Acquisition

Acquire retail traders through:

- SEO
 - YouTube
 - TikTok
 - X
 - Discord
 - Reddit
 - Referral programs
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AI Research

Provide:

- Probability analysis
 - News summaries
 - Event research
 - Economic calendars
 - Risk scoring
 - Market alerts
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Trade Routing

Customers place orders.

PredictAI routes orders to the FCM.

The FCM routes orders to Kalshi.

Portfolio

Customers view:

- Positions
 - P/L
 - History
 - Analytics
 - AI insights
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Revenue

1. Trade Revenue

Commission or revenue share from the FCM/exchange, depending on negotiated agreements.

2. Premium Subscription

Example pricing:

Plan Monthly

Basic Free

Pro \$9.99

Premium features:

- AI alerts
- Probability engine
- Portfolio analytics
- Strategy tools

3. Enterprise API

License AI analytics to:

- Hedge funds
 - Financial advisors
 - Trading firms
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4. White Label

License the platform to other brokers.

Market Opportunity

Target customers:

- Retail investors
 - Prediction market traders
 - Sports traders
 - Macro investors
 - Options traders
 - Crypto traders
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Competitive Advantage

Instead of competing with Kalshi, PredictAI helps customers make better decisions.

Traditional Broker PredictAI

Basic trading	AI-powered trading
Charts	AI probability
News	AI explanations
Portfolio	Portfolio + recommendations

Traditional Broker PredictAI

Order entry AI-assisted execution workflow

Regulatory Strategy

Operate as a **Guaranteed Introducing Broker** under an FCM.

The FCM is responsible for:

- Customer funds
- Account carrying
- KYC
- AML
- Clearing
- Settlement

PredictAI focuses on:

- Marketing
- Customer support
- AI
- Analytics
- Software
- Order routing (within the agreed regulatory framework)

Technology Roadmap

Phase 1

Build:

- Website
 - AI dashboard
 - Market browser
 - Customer onboarding
 - Paper trading
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Phase 2

Integrate:

- FCM
 - Kalshi
 - Customer accounts
 - Real-money trading
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Phase 3

Expand

- Mobile app
- Enterprise API
- Additional exchanges
- White-label offerings

Startup Cost

Item	Cost
Legal	\$40,000
Compliance	\$25,000
Registration	\$3,000
Technology	\$100,000
Security	\$15,000
Insurance	\$10,000
Working Capital	\$107,000
Total	\$300,000

Monthly Expenses

Item	Monthly
CEO	\$15,000
Compliance	\$5,000
Engineering	\$15,000
Cloud	\$2,000
Marketing	\$15,000
Customer Support	\$5,000
Insurance	\$1,000
Miscellaneous	\$7,000
Total	\$65,000/month

Year 1 Objectives

- Register as a Guaranteed IB.
- Execute agreements with an FCM and Kalshi.
- Launch the web platform.
- Acquire the first 1,000 funded customers.
- Introduce premium AI subscriptions.
- Validate the business model before expanding to additional exchanges.

What I would change

Knowing your background and strengths, I would **not** call the company **PredictAI Brokerage**.

I would create **two separate brands**:

Companies

PredictAI Brokerage.

Operation Company

PredictAI Technologies, Inc.

This is the legal entity that owns the software, intellectual property, and AI platform.

Operating Division

PredictAI Brokerage

This is the regulated Introducing Broker business.

This structure gives you flexibility. In the future, PredictAI Technologies can license its AI platform, analytics, and software to other brokerages, FCMs, or financial institutions without being limited to your own IB operation. It also makes the company more attractive to investors because the technology platform has value beyond the brokerage business.

Transaction Revenue

Revenue Source #1 – Transaction Revenue

PredictAI Brokerage earns transaction-based revenue through commercial agreements with its FCM and/or exchange partners.

Revenue may include:

- Per-contract commissions
- Revenue sharing
- Platform fees
- Technology fees

- Order-routing compensation (where permitted)
- Volume incentives

The exact commercial structure will depend on negotiated agreements with FCM and exchange partners and applicable regulations.

Illustrative Example

Assumptions (Illustrative Only)

- 5,000 active traders
- 10 contracts per trader per day
- 22 trading days per month
- Average revenue to PredictAI: **\$0.08 per contract** (illustrative)

Monthly Volume

5,000 traders × 10 contracts × 22 days

= 1,100,000 contracts

Monthly Revenue

1,100,000 × \$0.08

= \$80,000

Annual Transaction Revenue

\$960,000

These figures are illustrative only. Actual revenues depend on customer activity and commercial agreements.

Growth Scenario

Active Traders	Illustrative Annual Transaction Revenue*
5,000	\$1,056,000
10,000	\$2,112,000
25,000	\$5,280,000
50,000	\$10,560,000

Revenue Mix Strategy

AI Subscription \$9.99 per month

Included Features

AI Prediction Engine

- AI probability score
 - Confidence score
 - Market sentiment analysis
 - Fair value estimation
 - Historical event comparisons
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Market Intelligence

- Breaking news summaries
 - Economic calendar
 - Market-moving events
 - AI-generated explanations
 - Event timeline
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Smart Alerts

- Price movement alerts
 - Probability changes
 - AI recommendation updates
 - New market notifications
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Portfolio Intelligence

- Performance analytics
- Position insights
- Win/loss tracking
- Risk analysis
- AI portfolio recommendations

Research Tools

- Search prediction markets
- Trending markets
- Historical probabilities
- Market comparisons

Free vs Pro

Feature	Free	Pro (\$9.99/mo)
Market Prices	✓	✓
Market Search	✓	✓
Basic Portfolio	✓	✓
Place Trades	✓	✓
AI Probability	—	✓
Confidence Score	—	✓
AI News Analysis	—	✓
Fair Value Estimate	—	✓
Smart Alerts	—	✓
Portfolio AI	—	✓
Historical AI Analysis	—	✓

Illustrative Subscription Revenue

Subscribers	Monthly Revenue	Annual Revenue
1,000	\$9,990	\$119,880
5,000	\$49,950	\$599,400
10,000	\$99,900	\$1,198,800
25,000	\$249,750	\$2,997,000

50,000	\$499,500	\$5,994,000
100,000	\$999,000	\$11,988,000

Investor Strategy

The objective is **not** to make all revenue from commissions.

Instead:

Free User

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Starts Trading

|



Uses AI

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Subscribes

\$9.99/month

Transaction revenue and subscriptions reinforce each other:

- Trading attracts users.
- AI increases engagement.
- Subscriptions create predictable recurring revenue.

I actually like this pricing more than \$49/month

Most traders are willing to try a **\$9.99/month** service if they believe it can improve their decisions. It lowers the barrier to entry while still building meaningful recurring revenue at scale.

My suggestion: offer three tiers

PLAN	PRICE	PURPOSE
FREE	\$0	Trading, basic market data, basic portfolio
AI PRO	\$9.99/month	AI predictions, confidence scores, alerts, portfolio intelligence
AI ELITE	\$29.99/month	Everything in Pro plus advanced analytics, API access, strategy tools, priority support, and early access to new features

Strategic Customer Acquisition Advantage

Existing Industry Network

PredictAI has access to an established business network within the beauty industry, creating a unique opportunity for efficient customer acquisition.

The U.S. nail salon industry consists of approximately **58,000 nail salons** with hundreds of thousands of salon owners, technicians, employees, and customers, **plus thousands of local businesses such as car repair shop, restaurants, dentist, Tea shop**. This network provides a potential distribution channel that can be leveraged through strategic partnerships, referrals, and targeted marketing initiatives.

Customer Acquisition Strategy

Rather than relying solely on expensive online advertising, PredictAI intends to build multiple customer acquisition channels, including:

- Direct outreach to salon owners
- Referral partnerships
- Employee incentive programs
- Customer referral campaigns
- Educational seminars and webinars
- Digital marketing campaigns targeted to beauty professionals

- Co-branded promotional partnerships

This strategy is designed to lower customer acquisition costs while accelerating user growth.

Cross-Selling Opportunity

Many salon owners and beauty professionals are entrepreneurs and active retail investors. PredictAI believes this audience represents an underserved market for AI-powered financial tools and prediction market analytics.

Potential offerings include:

- AI-powered prediction market platform
- Investment education
- Financial market insights
- Portfolio tracking
- Mobile trading experience

Long-Term Expansion

Following successful penetration of the beauty industry, PredictAI intends to replicate this distribution model across additional professional communities, including:

- Insurance agents
- Mortgage professionals
- Real estate professionals
- Financial advisors
- Small business owners
- Professional associations

By building strategic industry partnerships, PredictAI seeks to create scalable customer acquisition channels that complement traditional digital marketing efforts and reduce long-term customer acquisition costs.